

Indivior Pharmaceuticals Inc (NASDAQ: INDV)

Not the growth stock the screen thinks it found: a merger arbitrage with a \$1bn special dividend - roughly \$8 a share, 22% of the price - due before an all-stock combination closes in early November.

RECOMMENDATION	PRICE	TARGET	HORIZON
BUY as an event, not as a growth story	\$36.02	\$48.00	Through the close, expected 2 Nov
MARKET CAP	ENTERPRISE VALUE	EV / FWD EBITDA	NET CASH
\$4.49bn	\$4.77bn	11.1x	\$-287m

In one paragraph

Indivior makes SUBLOCADE, a monthly injectable buprenorphine for opioid use disorder, and it is having its best year: SUBLOCADE revenue of \$253m in the June quarter was up 21%, adjusted EBITDA was up 111% to \$186m, and full-year revenue guidance was raised to \$1,295-1,365m. That is why the screen flagged it - a 32% earnings beat and six consecutive quarters above the estimate. But the same week it reported, Indivior agreed to merge with Supernus Pharmaceuticals in an all-stock merger of equals. Supernus holders receive 1.5401 Indivior shares each; Indivior holders receive a one-time special cash dividend of \$1bn in aggregate immediately before the close, which on 124.7m shares is about \$8.02 - 22% of today's \$36.02. The close is expected on or about 2 November. So what is being bought here is a cash payment in six weeks and a share of a combined company that will be renamed Supernus, Inc. The pitch is the event. The growth story is real and it is what makes the combined company worth holding after; it is not the reason to own the stock between now and November.

The business

Indivior's franchise is buprenorphine for opioid dependence. The legacy product, Suboxone film, has been losing share to generics for years; the growth product, SUBLOCADE, is a once-monthly extended-release injection that removes daily dosing and diversion, and it is where the company's future has been staked. SUBLOCADE was \$253m of the June quarter's \$343m of revenue, growing 21% while the rest of the portfolio declined. Management guides SUBLOCADE to 20% growth for the full year and adjusted EBITDA to 68% growth at the midpoint.

The economics are those of a specialty pharmaceutical company with one scaled product: gross margins in the mid-80s, an operating margin that has gone from 24% to 47% in a year as SUBLOCADE volume grew over a fixed commercial base, and a history of legal settlements - Indivior's opioid-era conduct produced years of litigation - that explains why book equity is negative (\$-208m) despite \$355m of trailing net income. The company bought back 4.7m shares for \$175m in the June quarter alone.

On 1 August it signed a merger agreement with Supernus, a CNS-focused specialty pharma (ADHD, Parkinson's). Structure: all stock, Supernus survives as a subsidiary, Indivior is renamed Supernus, Inc.; Supernus holders get 1.5401 Indivior shares per share, valued at \$61.62 and a 38% premium at announcement; Indivior holders get the \$1bn special dividend before close; deal value \$3.38bn; both shareholder bases vote; expected close in the fourth quarter, 'on or about 2 November'.

The numbers behind it

Quarter	Revenue	YoY	Gross margin	Operating income	Net income
2026-06	\$343m	+14%	+86%	\$160m	\$122m
2026-03	\$317m	+19%	+87%	\$137m	\$89m
2025-12	\$358m	+20%	+82%	\$122m	\$102m
2025-09	\$314m	+2%	+80%	\$99m	\$42m
TTM	\$1.33bn	+13%	+84%	\$518m	\$355m

Reported figures from FMP's statement feed, quarterly as filed; TTM is the sum of the last four. Growth is against the same quarter a year earlier.

The thesis

1. Eight dollars of cash in six weeks, on a stock at thirty-six

The special dividend is \$1bn in aggregate, paid to Indivior holders of record immediately before the merger closes. With 124.7m shares outstanding (market value \$4.49bn at \$36.02) that is \$8.02 a share, 22% of the price. The stock will reprice down by roughly that amount on the ex-date, so the dividend is not free money - it is the conversion of a fifth of the position into cash at a known date, which is a very different risk from owning a small-cap pharma outright.

2. The stub is a combined company at eleven times EBITDA with a product growing 20%

After the dividend, what remains is a share of Supernus, Inc.: SUBLOCADE, growing 20% on guidance, plus Supernus's CNS portfolio, in a company that will be larger, more diversified by product, and - because the dividend is paid from Indivior's cash and the deal is stock - not more levered than Indivior is today at 0.7 times net debt to EBITDA. Indivior on its own trades at 11 times trailing EBITDA. Four analysts have it at Buy with a \$48 average target, 33% above the price; Barclays reiterated Overweight after the deal.

3. An earnings record that de-risks the vote

Six straight beats, the last by 32% (\$1.15 against \$0.87), guidance raised in both the first and second quarters, and a 111% rise in adjusted EBITDA. A merger of equals is voted on by both sides; the side bringing the growth is the side whose holders have least reason to block, and the special dividend is the inducement. The chief accounting officer bought 1,500 shares at \$36.28 on 5 August and 1,500 more at \$35.69 on 27 August - small, but after the deal terms were public.

Why now

The timeline is the reason. The dividend is contingent on the close, the close is guided to 2 November, and the third-quarter report on 29 October lands four days before it. There are roughly six weeks in which the stock carries a defined cash event and a deal-completion risk that is low for an all-stock merger of equals between two companies with no antitrust overlap. The screen surfaced INDV for its earnings surprise and its insider purchase; the author's reading of the filings is that the event is the trade and the surprise is what makes the stub worth keeping.

- Shareholder votes at Indivior and Supernus, and the proxy's final dividend record date.

- Close of the merger, expected on or about 2 November 2026; the \$1bn special dividend is paid immediately before it.
- Third-quarter report on 29 October: SUBLOCADE run-rate against the raised guidance.
- First combined-company guidance from Supernus, Inc. after close.
- Next report 2026-10-29 (35 days).

What it is worth

Indivior alone: \$4.49bn of equity, \$287m of net debt, enterprise value \$4.78bn, 11.1 times trailing EBITDA and 3.6 times trailing revenue of \$1.33bn. Trailing net income is \$355m. FMP's trailing free cash flow line reads -\$111m, which is inconsistent with \$186m of quarterly EBITDA and is most likely the buyback or a settlement payment flowing through the feed's cash-flow mapping; the figure is reported here because it is in the data, and flagged because the author does not trust it.

The cases below are the street's range, because the author declines to value a company that will not exist in its current form in six weeks. The scenario that matters is arithmetic rather than a multiple: \$8.02 of cash, then a stub whose value is the combined company's. The street's \$43-53 range brackets that stub plus the dividend; the panel row is the base rate for names with a top-decile surprise and says nothing about mergers.

Case	Basis	Implied price	vs spot
Bear	lowest street target	\$43.00	+19%
Base	street consensus	\$48.00	+33%
Bull	highest street target	\$53.00	+47%
Dividend	\$1bn special dividend ÷ 124.7m shares, paid immediately before close	\$8.02	22% of spot
Panel	Top-decile earnings surprise: mean 12m of names like it ...of which doubled 5.2%, halved 4.3%	\$41.54	+15%

Street targets are the sell side's twelve-month numbers and skew high; the panel row is the descriptive base rate for names with this profile, not a forecast for this one.

The case against

The risks are the ones any pending merger carries plus the ones this pair carries in particular: the vote, the integration of two single-product-dependent companies, SUBLOCADE's competitive position, and the possibility that the dividend is the high-water mark.

1. The deal does not close, or closes late

An all-stock merger of equals needs both shareholder bases and no regulatory objection. Neither is likely to fail - there is no product overlap and the premium to Supernus holders is 38% - but the dividend is contingent on the close, and a delay from the fourth quarter into 2027 pushes the cash out and leaves the stock trading on the merger spread rather than on its own results.

2. Merger-of-equals integration, with a rename and a new management structure

MOEs have a poor record: two cultures, two commercial organisations, and a combined board deciding who runs what. Supernus's products (ADHD and Parkinson's) share nothing operationally with buprenorphine. The combined company's first guidance will be the first honest look at synergies, and it comes after the vote.

3. SUBLOCADE is one product, and it has a direct competitor

Braeburn's Brixadi, a weekly and monthly buprenorphine injectable, competes for the same patients and the same formulary decisions. SUBLOCADE's 21% growth has come alongside Brixadi's launch, but the combined company's largest product is one whose growth rate is the whole story, and generic Suboxone continues to erode the rest.

4. The dividend is paid out of the company

\$1bn leaves the balance sheet. It is funded from cash and the deal is stock, so leverage does not rise materially - but it is capital that could have bought back shares or funded the pipeline, and it leaves the combined company with less flexibility. Two senior insiders, the chief financial officer and the chief scientific officer, sold shares in June and July, before the deal was announced.

What would prove this wrong

- Either shareholder vote fails, or the close slips out of the fourth quarter.
- SUBLOCADE growth below 15% in the third quarter - the stub would be worth less than the street assumes.
- A combined-company guide that implies dis-synergies or a cut to SUBLOCADE investment.
- Any reopening of legacy opioid litigation at the combined entity.

How this name was found

Surfaced by venture/screen.py on 2026-09-24. The name is a top-ten holding of 1 of the twenty small-cap ETFs swept (XSMO), which is how it entered the universe; it ranked 1 of 63 on an evidence score of 3.0.

Flags and their weights: SUE_TOP (moderate, +2.0), INSIDER_BUY (moderate (literature), +1.0). The pre-run profile (breakout, momentum, volume) is computed for every name and worth zero by design; in the point-in-time panel it underperformed the universe by 3.4 points a year. Nothing in the screen is established at $|t| \geq 3$ and the pitch does not claim otherwise.

Panel profile: Top-decile earnings surprise. Since 2013, names with this profile returned +15.3% on average over twelve months; 5.2% doubled and 4.3% halved.

Sources

- Merger agreement 8-K and Form 425 (3 Aug 2026):
<https://www.sec.gov/Archives/edgar/data/0001625297/000119312526329517/d28447d425.htm>
- Deal terms summary (InsideArbitrage):
<https://www.insidearbitrage.com/2026/08/indivior-pharmaceuticals-and-supernus-pharmaceuticals-to-merge-in-a-3-38-billion-deal/>
- Q2 2026 results and raised guidance (Indivior IR):
<https://www.indivior.com/latest/category/financial-news/2026/indivior-reports-first-quarter-2026-financial-results-and-raises>

- Q2 2026 slides (Investing.com):
<https://www.investing.com/news/company-news/indivior-q2-2026-slides-sublocade-drives-111-ebitda-surge-93CH-4831574>
 - Form 4s for W. Anderson (5 and 27 Aug 2026), R. Preblich (8 Jun), C. Heidbreder (11 Jun, 10 Jul): SEC EDGAR
 - FMP statement, insider, analyst and price feeds (data/venture/fmp)
 - Point-in-time small-cap panel, 2013-2026 (data/pit/panel.parquet)
 - venture/screen.py evidence table and its cited literature
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